

COMMERCIAL LEASE AGREEMENT

(Triple Net Lease)

1. PARTIES

This Commercial Lease Agreement ("Agreement") is entered into as of March 1, 2024, by and between:

LANDLORD: Scottsdale Commercial Properties LLC, an Arizona limited liability company, with its principal office at 7500 E. Camelback Road, Suite 200, Scottsdale, AZ 85251 ("Landlord")

TENANT: Desert Valley Medical Group, P.C., an Arizona professional corporation, with its principal office at 4800 N. Scottsdale Road, Suite 100, Scottsdale, AZ 85251 ("Tenant")

2. PREMISES

Landlord hereby leases to Tenant, and Tenant hereby leases from Landlord, the following described premises ("Premises"):

Suite 150, located on the first floor of the building known as Camelback Medical Plaza, situated at 7500 E. Camelback Road, Scottsdale, Arizona 85251, comprising approximately 4,200 rentable square feet, as outlined on Exhibit A attached hereto and incorporated herein by reference.

The building ("Building") contains a total of approximately 28,000 rentable square feet. The Premises represent approximately 15.0% of the total rentable area of the Building.

3. TERM

The initial term of this Lease shall be for a period of seven (7) years, commencing on March 1, 2024 ("Commencement Date") and expiring on February 28, 2031 ("Expiration Date"), unless sooner terminated in accordance with the provisions of this Agreement.

4. BASE RENT

Tenant shall pay to Landlord as base rent for the Premises the sum of Eight Thousand Four Hundred Dollars (\$8,400.00) per month ("Base Rent"), payable in advance on the first day of each calendar month during the term of this Lease.

Base Rent is calculated at Twenty-Four Dollars (\$24.00) per rentable square foot per annum.

5. RENT ESCALATION

Commencing on the first anniversary of the Commencement Date and on each anniversary thereafter during the term of this Lease, the Base Rent shall increase by three percent (3.0%) over the Base Rent payable during the immediately preceding lease year.

The rent schedule is as follows:

Year 1 (Mar 2024 - Feb 2025): \$8,400.00/month
Year 2 (Mar 2025 - Feb 2026): \$8,652.00/month
Year 3 (Mar 2026 - Feb 2027): \$8,911.56/month
Year 4 (Mar 2027 - Feb 2028): \$9,178.91/month
Year 5 (Mar 2028 - Feb 2029): \$9,454.28/month
Year 6 (Mar 2029 - Feb 2030): \$9,737.91/month
Year 7 (Mar 2030 - Feb 2031): \$10,030.05/month

6. COMMON AREA MAINTENANCE (CAM) CHARGES

In addition to Base Rent, Tenant shall pay Tenant's Proportionate Share (15.0%) of all Common Area

Maintenance charges ("CAM Charges") incurred by Landlord in the operation and maintenance of the Building and Common Areas.

CAM Charges shall include, but not be limited to: property taxes, property insurance, landscaping, parking lot maintenance, exterior lighting, common area utilities, janitorial services for common areas, property management fees (not to exceed 5% of gross rents), and building repairs and maintenance.

Notwithstanding the foregoing, Tenant's total CAM obligation shall not exceed a cap of Six Dollars and Fifty Cents (\$6.50) per rentable square foot per annum (the "CAM Cap"), which equates to a maximum of Two Thousand Two Hundred Seventy-Five Dollars (\$2,275.00) per month.

The CAM Cap shall increase by three percent (3.0%) per annum on each anniversary of the Commencement Date.

7. SECURITY DEPOSIT

Upon execution of this Lease, Tenant shall deposit with Landlord the sum of Sixteen Thousand Eight Hundred Dollars (\$16,800.00) as a security deposit ("Security Deposit"), representing two (2) months' Base Rent. The Security Deposit shall be held by Landlord as security for the faithful performance by Tenant of all terms, covenants, and conditions of this Lease.

8. INSURANCE

Tenant shall maintain, at Tenant's sole cost and expense, the following insurance coverage throughout the term of this Lease:

- (a) Commercial General Liability Insurance with limits of not less than \$1,000,000 per occurrence and \$2,000,000 in the aggregate;
- (b) Property Insurance covering Tenant's personal property, trade fixtures, and improvements;
- (c) Workers' Compensation Insurance as required by the State of Arizona;
- (d) Business Interruption Insurance covering a minimum of twelve (12) months of rent obligations.

Landlord shall be named as an additional insured on all liability policies.

9. PERMITTED USE

The Premises shall be used and occupied by Tenant solely for the purpose of operating a medical office and clinic, including but not limited to general practice, internal medicine, and related healthcare services ("Permitted Use"). Tenant shall not use or permit the Premises to be used for any other purpose without the prior written consent of Landlord.

10. RENEWAL OPTIONS

Tenant shall have two (2) options to renew this Lease for additional periods of five (5) years each (each a "Renewal Term"), upon the following terms and conditions:

- (a) Tenant shall provide Landlord with written notice of its intent to exercise each renewal option not less than one hundred eighty (180) days prior to the expiration of the then-current term;
- (b) At the time of exercise, Tenant shall not be in default under any provision of this Lease;
- (c) Base Rent during each Renewal Term shall be adjusted to the then-current fair market rental rate for comparable medical office space in the Scottsdale/Camelback Corridor submarket, but in no event less than the Base Rent payable during the final month of the immediately preceding term;
- (d) All other terms and conditions of this Lease shall remain in full force and effect during each Renewal Term.

11. MAINTENANCE AND REPAIRS

Tenant shall be responsible for all interior maintenance and repairs to the Premises, including but not limited to: HVAC systems serving the Premises exclusively, plumbing fixtures, electrical systems within the Premises, floor coverings, and interior walls.

Landlord shall be responsible for structural repairs to the Building, roof, exterior walls, foundation, and all Building systems serving multiple tenants.

12. EARLY TERMINATION

Tenant shall have the right to terminate this Lease effective at the end of the fifth (5th) lease year, provided that:

(a) Tenant provides Landlord with not less than twelve (12) months' prior written notice of its intent to terminate;

(b) Tenant pays to Landlord an early termination fee equal to six (6) months' Base Rent at the rate then in effect;

(c) Tenant is not in default under any provision of this Lease at the time of notice or at the effective date of termination.

IN WITNESS WHEREOF, the parties have executed this Lease Agreement as of the date first written above.

LANDLORD:

Scottsdale Commercial Properties LLC

By: _____

Name: Michael R. Henderson

Title: Managing Member

Date: March 1, 2024

TENANT:

Desert Valley Medical Group, P.C.

By: _____

Name: Dr. Sarah J. Martinez

Title: President

Date: March 1, 2024